EUPHORIA

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One of the most interesting things about human physiology and psychology (because this is an observable factor in both our bodies and minds) is that the anticipation of reward is greater than the reward itself. This means that by the time we click the button to take profit, we're already coming down off our highs, and not feeling as good as we had hoped. It also means that we would rather seek the feeling of something that could happen over what is right in front of us. Being up 100% in a position makes us start to think what will happen when we're up 200%. Being up 200% makes us start to think of how we will spend the money, change our lives, quit our job, and do it every day. The euphoria we start to feel is no longer even connected to the one trade or hype cycle, but rather we start to unintentionally put all of our hopes and dreams into it. Traders become apes with diamond hands who are going to dismantle the system. Social media and group think plays a role as well. People see how much everyone else is making on social media (many claims which are false) and become convinced to hold their positions looking for more, more, more. And while hype cycles usually do in fact translate later in life to real life phenomena, the internet did indeed become integral to our lives, there are Cannabis stores on every corner in Canada, and AI will revolutionize the world, the stock market price cycle of all these phenomena at some point quickly outpaces the reality of what will come. This forces an equal and opposite pullback that often leaves people financially devastated potentially years before the real world effects take place.

RECOGNIZING EUPHORIA

After observing traders through several hype cycles, one starts to notice a pattern in the thinking and emotions of traders, just as patterns in the market. Some of the things you start to see in euphoria mode include:

1. People asking "why are we dumping" when it is a healthy pullback, or blow off the top move. The overarching mentality starts becoming one of only going up, and even small healthy consolidations start to be cause for confusion. A deeper pullback becomes even more nerve racking as traders start to be confused about what to do with their positions.

2. Adjusting plans that were previously made, or adjusting mindset. When entering a trade, people usually have a plan in mind for how they will act and how they will exit, when things are euphoric, you start to see people changing their strategy, trying to buy more dips faster, or letting a stop not play out because "this is a long term hold".

3. Increase in fomo (fear of missing out) from people who don't normally participate actively in the markets. Family members or people out and about will start talking about the hype space with more frequency since the gains and performance is so remarkable it becomes the news.

4. Desire to post gains. The gains themselves aren't good enough, people start to need to show others they were right all along, and validate their trades through showing off to others. This is a sign of euphoria as the trader can't contain their emotions.

5. Start outsizing your targets/gains - imagine when we hit (+30-100, 1000%) more. What was once a normal healthy 5% target becomes another 50% or more, and the targets keep increasing exponentially and not at all taking into account what may have already been achieved.

Scaling Out

ChartGal Lori has a saying “If you’re asking me if you should take some profit, I’ll always say yes”. One of the things most trading books say to do is let your winners run. You always want to let your winners run. But the problem with trading for a lot of people is the lack of control they feel over what the market will do. Taking profit at your own targets, rather than on the loss of support, allows you to manage your risk and feel a bit more in control of things that are out of your control. While you want to let your winners run, scaling out partial positions on your own terms allows you to play the market as you see fit, and protect against violent moves that might otherwise scare you out of a trade. It also allows you to manage the overall risk on your trade, and prevent winning trades from becoming losers. Scaling out of trades, either in tranches to put your stop at breakeven, at predetermined areas, 50% or 100% on options, or as a general rule - scale out at double on crypto runs by taking out your initial capital. This allows you to let the chart play out further, while minimizing your risk on a position.

Leaving Runners

There is no rule that when you take profit you have to sell it all. It is the default for people that if they own 100 shares, they sell 100 shares. But what is stopping you from holding 10? When something is trending there is no real benefit to selling it all, and there is a huge drawback - which is the fomo you feel by no longer owning an asset that is still going up. While it won’t stop you from feeling “what if I held it all”, or “why didn’t I sell it all”, in a trending market, runners will help mitigate fomo and allow you to focus on setting up new trade plans while you’ve already reduced your risk on a trade, and left yourself open to more gains.

Establish Re-entry

What happens on the other side? The first aspect of this is determining how you will exit when things start to shift in momentum. Will you sell on a loss of support, a certain ema, a trend change? What happens here is what I call the stop loss trap. Where traders don't want to stop out as we go down because that could mark the higher low on any given time frame. So they constantly adjust their original plans and stop, forcing a deeper pullback than they initially prepared for. They fail to act as they planned when things were calm, and now they start fretting. The hole becomes deeper and they become more anxious, eventually pull the trigger to sell, then the bounce comes, and they immediately increase their overall risk by buying back in higher.

This is almost more important than what happened on the upside. I call it the right side of the parabola. Even if you held through a parabolic euphoric run, and even if you sold near the top before a pullback, you'd be surprised how poor re-entries on the right side of the parabola can quickly cause people to give back all of their gains.

The same goes on the opposite end, you exited well, but now your dopamine has dropped considerably before baseline, and you're rushing to buy back in on any and every dip thinking you can't miss any small part of the move. This rush to be back in the trade, to make money on every small incremental move makes traders lose track of the larger focus of their trade. It also makes them lose track of what consolidation and healthy pull backs look like. A trending market becomes a sideways one, where traders who are looking for the next trend get chopped up in a market that is going sideways, entering and exiting and creating small paper cuts that eat into prior profits. If it continues to dip, traders start to comfort themselves by saying "well this is a long term hold", or you add more, and quickly leverage up on a trade that is going down, rather than patiently waiting for your next setup. This happens time and time again, and the gains you worked so hard for start to get paper cutted away faster than the time it took to make them.

Holding Your Gains

Ultimately what separates out traders is how they manage the gains they make over time. How they ensure their profit, how they don't get hit with a tax bill when gains are no longer there. Even more so than the parabolic move, it's how they prepare and act on the right side of the parabola that will ultimately dictate long term success.

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